China's Trade Surplus Passes $1 Trillion at Record Pace

China's factories are finding eager buyers worldwide, but the export boom is raising concerns about its impact on trading partner nations.

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China's trade surplus surged past $1 trillion in the first 10 months of this year, eclipsing last year's record-setting pace as overseas demand for Chinese goods continued to climb steeply, the government announced on Tuesday.

From solar panels to electric cars, China has found strong global interest for green energy products, as Iranian attacks on ships in the Strait of Hormuz have driven up international oil prices. China has also benefited from the boom in artificial intelligence data centers, for which it manufactures much of the equipment, apart from the most powerful semiconductors.

China's trade surplus reached $1.04 trillion in the first 10 months of the year, the General Administration of Customs said, with exports exceeding imports by $105.3 billion in October. The monthly gap narrowed from September, however, as crude oil import prices remained high and China's crude oil purchases jumped to the highest level since the start of the Middle East war.

At the same time, China restricted shipments of diesel, jet fuel and other refined oil products to nearby countries last month to conserve domestic supplies.Overall exports climbed 35.2 percent last month from a year earlier, driven in part by

strong shipments of cables, racks and other equipment for data centers overseas. But imports jumped 41.6 percent, including substantial demand of electronics for China's own A.I. infrastructure buildout.

"High-tech products continued to underpin export strength, while import volumes delivered the larger upside surprise," said a research note from ANZ, a major Australian bank.

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The figures came a day after Washington and Beijing took steps to ease tariffs and restrict the use of export controls through Jan. 10, putting into effect an agreement reached by senior officials in late September ahead of a Washington summit between President Trump and Xi Jinping, China's top leader.

China's growing dominance in global trade partly reflects the remarkable competitiveness of its manufacturers. Low labor costs and heavy investment in the latest automation keep production costs down. World-class infrastructure makes it inexpensive to ship goods from towns and cities across China to international markets. China's weak currency has helped keep Chinese goods affordable in distant markets.

Beijing further helps exporters through tax rebates, which now cost the government almost one-eighth of its tax revenues.

The widening gap between exports and imports also signals weakness in China's domestic economy. A slow-motion collapse of the country's housing market, with prices down roughly 40 percent nationwide over the past five years, has wrecked the life savings of much of the middle class.

Distrusting stocks, bonds and mutual funds, Chinese households had invested roughly four-fifths of their savings in apartments, only to find that real estate was not as safe an investment as widely believed. That has prompted many families to

economize by cutting back on purchases of everything from cars to household appliances.

At the same time, China's national campaign for self-reliance has further reduced its need for imports. "As supply chains continue to build out in China, there is less need for foreign components," said Deborah Elms, the head of trade policy at the Hinrich Foundation, a Singapore-based group that favors free trade.

The imbalance has become particularly pronounced in trade with Europe, fueling growing concerns there about industrial job losses. China reported on Tuesday that its surplus with Europe reached $33.4 billion last month, and $320.8 billion for the first 10 months of this year. That now exceeds its surplus with the United States, which stood at $32.7 billion last month and $266.5 billion for the first 10 months of this year.

China's booming overseas sales have enabled a remarkable feat: installing extensive automation in its factories to expand production and improve efficiency without substantial factory job losses. Manufacturing employment has remained mostly steady at about 71 million jobs since 2020, even as the country's trade advantage has widened significantly, according to official data. Factory employment had contracted somewhat before then.

Manufacturing job losses have occurred instead in countries like France and particularly Germany, which is shedding 14,000 industrial jobs per month. These countries have become large importers of Chinese goods while also losing markets to Chinese competition in developing countries and elsewhere.

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